

	INITIAL MVP	AFTER OPTIMIZATION
Registration	5%	17%
Activation	17%	90%
Retention	Too low	5%
Referral	Too low	4%

David knew he had to do more development and testing. For the next three months he continued to optimize, split test, and refine his pitch. He talked to customers, held focus groups, and did countless A/B experiments. As was explained in [Chapter 7](#), in a split test, different versions of a product are offered to different customers at the same time. By observing the changes in behavior between the two groups, one can make inferences about the impact of the different variations. As shown in the chart below, the referral rate nudged up slightly to 6 percent and the retention rate went up to 8 percent. A disappointed David had spent eight months and \$20,000 to build a product that wasn't living up to the growth model he'd hoped for.

	BEFORE OPTIMIZATION	AFTER OPTIMIZATION
Registration	17%	17%
Activation	90%	90%
Retention	5%	8%
Referral	4%	6%

David faced the difficult challenge of deciding whether to pivot or persevere. This is one of the hardest decisions entrepreneurs face. The goal of creating learning milestones is not to make the decision